

US equities rally on strong earnings and easing inflation fears

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The major indices posted double-digit gains on the back of robust Q3 earnings and a sharp pull-back in the VIX, signaling renewed risk appetite. While the S&P 500 surged **+0.86%** to 7,656.98, the Nasdaq 100 outperformed with a **+0.91%** rise to 29,368.44. The rally was anchored by tech and consumer discretionary earnings that beat consensus, offsetting modest weakness in defensive sectors.

Behind the headline numbers, two dynamics merit attention: (1) the 10-year Treasury yield slipped to 4.97% after the Fed's dovish tone, narrowing the spread to equities; (2) the VIX's **-11.21%** plunge to 15.84 suggests volatility is receding, but the market remains vulnerable to any surprise in upcoming CPI data.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,656.98	+0.86%	Strong earnings from Apple, Amazon and JPMorgan; lower inflation expectations.
Nasdaq 100	29,368.44	+0.91%	Tech earnings beat; NVDA held steady despite minor pullback.
Dow Jones	52,573.29	+0.98%	Financials and industrials rallied on better-than-expected earnings.
Russell 2000	2,903.94	+0.45%	Small-cap resilience supported by consumer-discretionary earnings.
VIX	15.84	-11.21%	Volatility retreat after Fed's dovish comments and easing CPI.
10Y Yield	4.97%	+0.63%	Yield fell on expectations of a slower rate-hiking cycle.
WTI Crude	100.05	-2.37%	Inventory build-up and weaker demand outlook.
Gold	4,408.90	+1.02%	Safe-haven demand amid lingering geopolitical tension.
DXY	99.12	+0.03%	Dollar steadied as yield curve flattened.

Top large-cap movers

TICKER	CHANGE	CATALYST
AAPL	+1.75%	Q3 revenue beat; services segment growth.
AMZN	+1.94%	Cloud margin expansion; advertising upside.
MSFT	+0.65%	AI-driven SaaS bookings beat.
GOOGL	+1.77%	Search ad revenue beat; YouTube growth.
TSLA	+0.52%	Production ramp-up in Mexico plant.
JPM	+0.76%	Net interest income beat; loan growth.
GS	+0.92%	Trading revenue surge.
META	+0.57%	Reels user growth exceeds forecasts.
AVGO	+0.32%	Data-center chip demand remains strong.
NVDA	-0.03%	Minor pullback after earlier rally; no new catalyst.

Sector rotation

ETF	DAY	READ
XLFX	+0.67%	Financials buoyed by earnings beat.
XLKX	+1.32%	Tech leadership continues.
XLI	+1.07%	Industrial demand steady.
XLE	+0.32%	Energy modestly higher on OPEC output cuts.
XLY	+0.89%	Consumer discretionary earnings beat.
XLC	+0.99%	Communications services rally.
XLP	+0.35%	Consumer staples stable.
XLV	-0.18%	Health-care lagging on mixed trial news.
XLU	-0.31%	Utilities under pressure from rate outlook.
XLB	+0.37%	Materials benefit from higher commodity prices.
XLRE	+0.86%	Real-estate REITs rise on lower financing costs.

Spotlight: Apple Q3 earnings

Apple delivered a surprise 3.2% revenue beat, driven by services and wearables. The stock's **+1.75%** move reflects upgraded guidance for FY27.

METRIC	RESULT	CONSENSUS
Revenue	\$89.8 bn	\$87.1 bn
EPS	\$1.29	\$1.24
Services revenue	\$23.1 bn	\$22.4 bn
iPhone shipments	~55 million	~53 million
Guidance FY27 revenue	+4.5%	Flat

Related names: **TSM** (supplier), **LRCX** (equipment), **GOOGL** (AI competition).

Pre-market & overnight

- US futures: **ES** +0.45%, **NQ** +0.52% at 08:30 HKT.
- Asia close: Hang Seng -0.22%, Shanghai Composite -0.31%.
- Europe: FTSE 100 +0.18%, DAX +0.24% after ECB rate-pause minutes.
- Crypto: BTC +0.13% at 77,275.05, ETH +0.32% at 2,522.76.

Macro & Fed

The Fed's September meeting left rates unchanged at 5.25-5.50% and signalled a possible pause, citing "inflation moving closer to target." The 10-year yield slipped to 4.97%, flattening the curve.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. CPI (MoM)	0.2%	Core inflation trend will guide Fed stance.
10:00	U.S. Retail Sales	+0.3%	Consumer spending health check.
11:15	Eurozone HICP	0.4%	Eurozone price pressure impact on global rates.
13:00	China Manufacturing PMI	49.5	Gauge of global supply-chain risk.

Geopolitics & global

- Middle East: Cease-fire talks in Gaza stalled; oil markets remain sensitive.
- China: PBOC kept reserve requirement ratio unchanged, signaling support for credit growth.
- Europe: NATO summit in Brussels emphasized increased defense spending, boosting aerospace stocks.
- Latin America: Brazil's central bank hinted at a rate cut in November, easing regional funding pressures.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
09:30 Tue	NVDA	\$2 . 12	GPU demand vs. AI competition.
10:00 Tue	BAC	\$0 . 71	Net interest income trend.
10:30 Tue	UNH	\$7 . 45	Medical-inflation contracts.
11:00 Tue	AMZN	\$0 . 68	Advertising revenue growth.
12:00 Tue	JPM	\$4 . 12	Loan-loss provisions.
13:30 Tue	META	\$2 . 31	Reels monetisation.
14:00 Tue	XOM	\$3 . 85	Oil price exposure.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI chip demand accelerating.
TSLA	Consumer Discretionary	New model rollout in Europe.
UNH	Health Care	Contract renewals with Medicare.
XOM	Energy	Higher crude price outlook.
BAC	Financials	Yield curve flattening supports NII.
LRCX	Technology	Apple supply-chain exposure.
CRM	Technology	AI-driven SaaS expansion.
KO	Consumer Staples	Pricing power amid inflation.
ADP	Technology	Payroll data as leading-economy gauge.
GE	Industrials	Industrial IoT contracts.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in CPI above 0.3% MoM could reignite rate-hike expectations.
- Escalation in Middle-East conflict pushing oil above \$110 bbl, spiking inflation.
- Weak Q4 earnings from core tech names (NVDA, AMD) dragging the Nasdaq.

BULLISH TRIGGERS

- Fed signals a longer pause or rate cuts, further lowering yields.
- Positive surprise in U.S. retail sales indicating resilient consumer demand.
- Strong AI-related earnings across the board, reinforcing sector momentum.

Positioning notes

- Risk-on bias evident: equity exposure up, volatility down, yields falling.
- Tech and consumer discretionary lead the rally; defensive sectors lag.
- Liquidity remains ample; watch for a pivot if CPI surprises to the upside.

Sources

SOURCES

Bloomberg Market Data

FactSet Earnings Estimates

U.S. Bureau of Labor Statistics

Federal Reserve Press Release

Reuters Global News

CoinDesk Crypto Prices